

**BEFORE THE FEDERAL MARITIME COMMISSION**

**Docket No. 24-19**

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**PELOTON INTERACTIVE, INC.**

**v.**

**FLEXPORT INTERNATIONAL LLC**

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**RESPONDENT'S VERIFIED ANSWER AND AFFIRMATIVE DEFENSES**

COMES NOW, Respondent, Flexport International LLC, by and through its undersigned counsel and files this, its Verified Answer to the Amended Complaint and Affirmative Defenses and states as follows:

**I. COMPLAINANT**

1. Peloton is a Delaware corporation with its corporate headquarters at 441 9th Ave, 6<sup>th</sup> Floor, New York, NY 10001.

**Response: Flexport is without knowledge of the allegations and therefore denies same.**

2. Peloton is a technology-enabled fitness company that offers, among other things, connected fitness equipment, apparel, and classes through streaming and on-demand media. Peloton's connected fitness product portfolio includes the Peloton Bike, Bike+, Tread, Tread+, Guide, and Row. Peloton operates internationally and in North America.

**Response: Flexport is without knowledge of the allegations and therefore denies same.**

3. In connection with the international nature of its manufacturing and product sales, Peloton regularly utilizes shipping and other logistics services to transport its materials

and products, including containerized ocean shipping between the U.S. and foreign locations (“Peloton Containers”), and as relevant here, using “non-vessel operating common carriers” (“NVOCCs”).

**Response: Flexport is without knowledge of the allegations and therefore denies same.**

## **II. RESPONDENT**

4. Respondent is an entity organized under the laws of the state of Delaware, with its principal place of business at 760 Market Street, 8th Floor, San Francisco, CA 94102.

**Response: Admit.**

5. Respondent is an NVOCC pursuant to 46 U.S.C. § 40102(17), having Federal Maritime Commission (“FMC”) organization and license No. 025219.

**Response: Admit.**

## **III. JURISDICTION**

6. The FMC has subject-matter jurisdiction over this Amended Complaint pursuant to the Shipping Act.

**Response: Denied.**

7. The FMC has personal jurisdiction over the Respondent as a regulated and registered NVOCC as defined in 46 U.S.C. § 40102(17).

**Response: Admit insofar as the FMC has jurisdiction over Flexport in its capacity as an NVOCC for such services. Otherwise denied.**

8. This Amended Complaint is being filed pursuant to 46 U.S.C. § 41301. Peloton is seeking reparations for injuries resulting from Respondent’s violations of 46 U.S.C. §

41102(c), § 41104(a)(15), and § 41104(a)(14).

**Response: Admit insofar as the allegations speak for themselves. Otherwise denied.**

9. Respondent's actions as alleged herein constitute failures by Respondent to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering Peloton's property, in violation of 46 U.S.C. § 41102(c) and 46 C.F.R. §§545.4 and 545.5 (unreasonable practices); 46 U.S.C. § 41104(a)(15) (unlawful invoicing); and 46 U.S.C. § 41104(a)(14) (unreasonable charges).

**Response: Denied.**

#### **IV. FACTUAL ALLEGATIONS AND CHRONOLOGY OF EVENTS**

10. Flexport is a common carrier licensed with the FMC. It holds itself out to the general public as part of a global transport and logistics company providing ocean transportation of cargo between the United States and a foreign country for compensation and as part of a "global partner infrastructure to ship any volume of goods."

**Response: Denied. Flexport states that it is a licensed non-vessel operating common carrier. Flexport also provides logistics and related services separate and apart from its duties as an NVOCC.**

11. On the landing page of Flexport's website, Flexport advertises to current and potential shipping and consignee customers that it is:

**Your end-to-end supply chain, all in one platform**

Flexport goes on to tout that it "is the platform that coordinates global logistics from factory to

**customer door**—empowering businesses to ship anywhere, sell everywhere and grow faster.  
(emphasis added).

**Response: Denied.**

12. Peloton required the services of an entity such as Flexport that offered these end-to-end transport capabilities, as Peloton did not have the necessary infrastructure or agreements in place to manage inland transportation of its containers after they were discharged at marine or rail terminals.

**Response: Denied. The MSAs that Peloton references in its Amended Complaint, which are attached hereto, make specific reference to Peloton's use of both NVOCCs and motor carriers.**

13. For example, Peloton did not have a dispatch operation to schedule trucking appointments with trucking companies.

**Response: Denied. The MSAs that Peloton references in its Amended Complaint, which are attached hereto, make specific reference to Peloton's use of both NVOCCs and motor carriers**

14. Flexport has shipped Peloton goods since at least 2015, including under various Negotiated Service Agreements (“NSAs”), Negotiated Rate Agreements (“NRAs”), and Master Service Agreements (“MSAs”). These included a MSA and related NSA dated June 1, 2020 and a MSA and related NSA dated July 1, 2021 relating to the majority of the shipments for which Peloton seeks reparations in this action (“Flexport Agreements”).

**Response: Flexport Admits that the parties entered into the referenced MSAs, NSAs and NRAs and that the MSAs and NSAs would apply to the majority of the shipments at issue in this litigation. Notably, Peloton did not**

attach any of the “Flexport Agreements” to its Amended Complaint. The reason will become clear. Flexport attaches hereto true and correct copies of the referenced Flexport Agreements<sup>1</sup> hereto:

- The 2020 MSA, which by its terms also served as an NSA dated June 1, 2020 is attached hereto as Flexport Exhibit “B”.
- The 2021 MSA, which by its terms also served as an NSA dated June 1, 2021 is attached hereto as Flexport Exhibit “C”.
- The NRAs and corresponding bills of lading are attached hereto as Flexport Composite Exhibit “D”.

The two MSAs are essentially identical with respect to their terms. The NRAs likewise are identical, except as same pertain to different time periods and different shipments.

Each MSA provides that Flexport would provide global transportation and/or Customs services as set forth in the service and fee schedules included in the MSA. Peloton further agreed to pay for the Services at the rates so specified therein. Section 3(a).

The MSAs, Section 3(c), further addressed the invoices that Flexport would issue. Notably, for the 2020 MSA, Peloton agreed that, for any item on any invoice which was disputed, Peloton would notify Flexport of such dispute

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<sup>1</sup> Flexport notes that there were NSAs entered into for the period prior to 2020, but these are irrelevant to the subject litigation since none of the shipments moved under them and any claims relating thereto would be time-barred in any event.

**within 7 days. For the 2021 MSA, this time frame was extended to 30 days. If such dispute was not resolved, then Peloton could withhold payment.**

**The MSAs, Exhibit B, set forth the ocean freight rates for the subject shipments. Notably, the MSAs, Exhibit B specifically provides:**

**“All shipments will move on CY-CY Ocean Bills of Lading.”**

**The MSAs, Exhibit B(4) then specifically sets forth the free time for detention and demurrage and that the charges for detention and demurrage will be as set forth in Flexport’s Rules Tariff.**

**Finally, the NRAs and their respective bills of lading clearly set forth, again, that each transport was CY-CY and subject to the detention and demurrage charges as set forth in Flexport’s Rules Tariff.**

**Further, for 221 shipments, Flexport did not in fact provide any NVOCC services. For these shipments Peloton utilized a different ocean carrier and utilized Flexport solely to arrange for the inland transportation. For such shipments, any demurrage would have been billed directly to Peloton by the ocean carrier it utilized. For any detention charges, Flexport advanced these amounts on behalf of Peloton and invoiced Peloton for same.**

**Peloton’s Exhibit “A” identifies 3249 invoices and their issuance date. Attached hereto as Flexport Exhibit “A” is a true and correct copy of the same spreadsheet that Peloton attached to its Amended Complaint<sup>2</sup> and**

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<sup>2</sup> For whatever reason, Peloton’s Exhibit “A” was provided in an unsearchable PDF format. Also, there was no rhyme or reason to how the invoices were listed. That is, they were not listed in either chronological nor numerical order. As

which Flexport responds to each line item as follows for the Commission's ease of reference:

**Blue:** Issued more than three years prior to filing of complaint and therefore time-barred.

**Yellow:** Issued after June, 2022 (OSRA)

**Green:** Flexport did NOT provide any ocean service

15. Flexport transported Peloton's goods in ocean shipping containers ("Peloton Containers") under "store door" terms to the U.S. from various overseas locations, through numerous U.S. ports (including, Boston, Norfolk, New York/New Jersey, Seattle and Savannah), to numerous inland locations throughout the U.S.

**Response:** Denied. Flexport did not transport any of Peloton's goods. As an NVOCC, Flexport made arrangements for the transportation of a portion of Peloton's goods to the port, CY-CY. Flexport would also make arrangements for inland transportation in accordance with the MSAs. Flexport states that there were no "store door" terms and all the terms of transport were set forth in the applicable MSAs, NSAs, NRAs and bills of lading for each shipment which ended at the relevant port. See response to paragraph 14 above.

The terms of the agreements between Peloton and Flexport were clearly set forth in the MSAs, NRAs and bills of lading, which incorporated Flexport's publicly-available published Rules Tariff. Peloton accepted Flexport's terms

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such, the undersigned requested from Peloton a copy of Exhibit "A" in native format. This allowed Flexport to respond to each line item, to sort the invoices in a logical way, and to enable the Commission to review, sort, search and manipulate the data contained therein.

and was well aware of the charges to be assessed and the amount of same, which were clearly set forth in the above-referenced documents. As reflected on the face of these documents the terms of ocean transport were CY-CY, which means that Flexport's responsibilities for such shipments as an NVOCC ended at the relevant port. For such shipments, if Flexport was retained to arrange for the inland transportation, it performed such services as a customs broker or broker as clearly the inland moves were not covered by the applicable bills of lading. For these moves, any demurrage or detention charges, as set forth in the MSAs and Flexport's Rules Tariff, were assessed by third parties and passed to Peloton. Further, as Peloton even acknowledges, for several shipments – which Peloton does not identify despite the Commission's Order that they do so – Peloton hired a different NVOCC to perform the ocean transportation and hired Flexport to arrange for the drayage. As such, for such inland moves: (1) such could not possibly be considered "store door" moves, and (2) the Commission would not have jurisdiction over such claims or over Flexport.

16. Store door transportation is also commonly referred to as "carrier haulage" because, in addition to the ocean transportation, the common carrier of the ocean transportation is also responsible for the inland movement of the container from the arrival port to the named place of delivery, via rail and/or truck drayage.

**Response: Denied.**

17. In the store door shipments, Flexport, as the common carrier, was responsible for arranging and paying for all aspects of the inland movement of the Peloton Containers,



including the provision of chassis, and for ensuring the Peloton Containers were removed from U.S. marine and intermodal terminals, delivered to the final designated inland destination, and the empty containers were returned to the carrier-designated return locations.

**Response: Denied. The allegation reflects not only a complete lack of understanding as to the transportation industry, but is completely false with respect to the obligations of Flexport under the clear terms of the parties' agreements. See response to paragraphs 14 and 17 above.**

**Flexport is an NVOCC not an ocean carrier. Peloton makes purely legal conclusions which are inaccurate and outright false. It was Peloton who was at all times responsible for paying all aspects of the inland movement of the containers.**

**Flexport did not provide "store door" moves at all, as clearly reflected in the parties' agreements. When Flexport arranged for inland transportation, such services were not subject to the bills of lading, NRAs or NSAs, all of which terminated at the port. Such services cannot implicate the Shipping Act and are not within the jurisdiction of the Commission. For several shipments, Flexport had no involvement with the ocean transportation at all and merely arranged for the inland transportation. For these inland moves, Flexport advanced the funds to the motor carriers on behalf of Peloton and invoices Peloton for same.**

18. In store door shipments, costs and charges relating to delays in the timely delivery of containers (and chassis) to the designated inland locations and ultimately the return of empty containers and equipment (generally known as demurrage, detention, per diem and

similar charges (“D&D” )) should have been borne by Flexport, not the shipper or consignee, when the delays result from matters for which the shipper or consignee was not a cause or contributing factor; for example:

- a. underlying transportation delays (*e.g.*, delays in picking up containers from marine terminals caused by problems arranging inland drayage services, failing to provide adequate trucking, failing to provide or obtain adequate chassis and/or appointment availability at the terminals); and/or
- b. delays in equipment return caused by inland draying problems, and or inadequate empty return locations.

**Response: Denied. See responses to paragraphs 14, 15 and 17 above. It was Peloton who was at all times responsible for paying all aspects of the inland movement of the containers. Further, any alleged service failures and D&D charges were the result of Peloton’s failure to manage the sudden surge and subsequent fall of consumer demand, rather than any actions or inactions on the part of Flexport. It was Peloton which allowed the Containers to sit at the yard and incur D&D charges, despite repeated warnings from Flexport.**

19. In the latter part of 2020 Flexport began charging Peloton increasing amounts of D&D charges on Peloton Containers. In the first half of 2020, Flexport charged Peloton about \$750,000 in D&D charges, which increased in the second half of 2020 to over \$1 million.

**Response: Denied.**

20. During 2021, Flexport’s D&D charges to Peloton increased dramatically, from about \$3.5 million in the first half of 2021, to over \$20 million in the second half of 2021.

**Response: Denied.**

21. Faced with Flexport's failure to properly perform its inland transportation obligations and increasing D&D charges, in or about April 2021, Peloton engaged a third-party logistics provider and began transitioning new shipments away from store door shipments to container yard ("CY" or "port-to-port") shipments, using the third-party logistics provider to manage the inland intermodal transportation.

**Response: Denied. At all times, when acting as an NVOCC, Flexport provided CY-CY or port-to-port shipments. As such, Peloton's implication otherwise is baseless. See response to paragraphs 14, 15 and 17.**

22. The third-party logistics provider was not involved with the transportation of Peloton Containers moving under store door terms with Flexport.

**Response: Denied.**

23. The transition continued during the first half of 2022, during which time Flexport's D&D charges continued, but declined as a result of the transition, from about \$5 million in the first quarter of 2022, to about \$3 million in the second quarter of 2022.

**Response: Denied.**

24. By on or about June 2022, Peloton had significantly reduced shipping Peloton Containers with Flexport.

**Response: Admit. Flexport notes, however, that Peloton's decreased volume had nothing to do with Flexport or D&D charges. It had everything to do with its well-publicized business failures.**

25. Flexport continued to invoice Peloton for approximately \$80,000 of D&D charges for Peloton Containers remaining in transportation after June 2022.

**Response: Denied.**

26. Flexport failed to properly perform its inland transportation obligations, including, but not limited to, failing to timely remove Peloton Containers from U.S. marine and intermodal terminals, failing to timely deliver Peloton Containers to their designated inland locations, and failing to timely return the empty containers within the applicable free time periods.

**Response: Denied. Flexport performed its obligations without any complaint from Peloton. To be clear, at no time did Peloton ever make any complaint about Flexport's performance or blamed Flexport for any delay. Indeed, any delay or the backlog had nothing to do with Flexport – rather, it had everything to do with Peloton's admitted failure to manage the sudden surge of consumer demand and the realities of the supply chain. Flexport repeatedly warned Peloton of these issues. Yet Peloton ignored Flexport's warnings (as well as the warnings from its own officers and advisers), and just continued to manufacture and import goods. There simply was no way the supply chain could keep up with the number of goods being imported by Peloton.**

**Further, as per the unequivocal terms of the MSAs which Peloton references in its Amended Complaint, Peloton had a specific time frame (7 and 30 days respectively) to dispute any invoice and could have withheld payment for same if such dispute was not resolved. Yet, Peloton paid the invoices, without complaint. See response to paragraphs 14, 15 and 17.**

27. Flexport unjustly and unreasonably assessed D&D charges against Peloton and Peloton Containers without first undertaking an evaluation as to whether Flexport was

responsible for the charges or whether its acts or omissions were a cause or contributing factor to the charges.

**Response: Denied. See response to paragraphs 14, 15 and 17. At all times, as the shipper and/or consignee for the cargo, it is Peloton that remained responsible for the D&D charges – as clearly set forth in the MSAs which Peloton referenced in the Amended Complaint. Peloton’s vague assertion to the contrary is both unsupported and contrary to centuries of maritime jurisprudence. Peloton seems to suggest that by arranging for inland transportation, Flexport is somehow legally liable for payment and absorption of D&D charges and must provide these services to its customers at a financial loss. This is contrary to both the express terms of the parties’ agreement and common sense.**

28. Flexport unjustly and unreasonably assessed these D&D charges against Peloton and Peloton Containers in circumstances where Peloton was not the party responsible to pick up, move, or return the containers.

**Response: Denied.**

29. During the time period relevant to this Amended Complaint, Flexport transported Peloton Containers under store door terms for inland delivery in the United States, and repeatedly and continuously failed to maintain just and reasonable practices in connection with its inland transportation obligations, including assessing unjust and unreasonable D&D charges on more than 3,000 separate invoices.

**Response: Denied. See response to paragraph 14 above.**

30. Exhibit A identifies invoices and D&D charges assessed by Flexport for Peloton

Containers. The information is incorporated into this paragraph as a factual allegation of the Amended Complaint as if the information in Exhibit A were set forth in full herein.

**Response: Denied. Exhibit “A” provides no indication whatsoever as to which charges are for demurrage and which are for detention.**

31. The thousands of invoices identified in Exhibit A enumerating D&D charges assessed by Flexport over an extended period of time plainly show that Flexport engaged in the unreasonable and unlawful practices alleged herein on a normal, customary, and continuous basis.

**Response: Denied. Exhibit “A” provides only a list of invoices, when they were issued, and the amount of D&D charges for each, without deliberation as to what was for demurrage and what was for detention. There is no mention of any practice of any kind. To be clear, how does a list of charges show that Flexport engaged in unreasonable and unlawful practices?**

32. Flexport’s unjust and unreasonable practices, and specifically Flexport’s assessment of unreasonable D&D charges that Peloton paid, are the proximate cause of Peloton’s damages.

**Response: Denied. It is unclear what “unjust and unreasonable” practices are being alleged. Peloton seems to be claiming that the very imposition of these charges constitutes an “unjust and unreasonable” practice. Peloton is not claiming that these were excessive or fraudulent – just that they were assessed. See response to paragraph 14 above.**

33. As reflected in Exhibit A, Peloton was charged and paid over \$30 million in D&D charges in connection with Flexport’s store door transportation of Peloton Containers,

which were improperly invoiced by Flexport in violation of the Shipping Act.

**Response: Denied. Exhibit “A” makes no mention of the charges being paid. Flexport did not provide “store door transportation” and at all times Peloton was responsible for all charges, including D&D. To be clear, multiple Peloton personnel reviewed each and every D&D charge and approved payment for same. If Flexport had agreed to be responsible for such charges, then why would Peloton pay for same at all? At no time did Peloton challenge either the assessment of the charges, or the amounts charged.**

**See response to paragraph 14 above.**

34. Flexport improperly charged to Peloton D&D charges on the carriage of goods arranged by Flexport in circumstances where Flexport was responsible for arranging and managing the inland transportation, including timely removal and return of Peloton Containers.

**Response: Denied. See response to paragraphs 14, 15 and 17. To be clear, multiple Peloton personnel reviewed each and every D&D charge and approved payment for same. If Flexport had agreed to be responsible for such charges, then why would Peloton pay for same at all? At no time did Peloton challenge either the assessment of the charges, or the amounts charged.**

35. Flexport improperly charged to Peloton D&D charges on the carriage of goods arranged by Flexport in circumstances where charging Peloton D&D charges did not incentivize the movement of cargo or primarily function to promote cargo fluidity.

**Response: Denied. See response to paragraphs 14, 15 and 17. But Flexport will say that, although Peloton had every incentive to return the containers, it deliberately failed to do so through no fault of Flexport. To be**

crystal clear, Flexport at all times bent over backwards to find space for Peloton to store the products and motor carriers to move them. Further, Flexport at all times kept Peloton well aware as to delivery schedules, timetables, and the need to move the cargo to avoid or minimize D&D charges. Indeed, Flexport and Peloton had daily, weekly, monthly, and quarterly meetings. Yet, Peloton continued unheeded to pursue its dreams of avarice, irrationally hoping – praying – that the pandemic would continue so Peloton could increase its profits and that the only way to do so would be to have their products start moving again. Flexport warned Peloton that its business practices will have disastrous results, particularly when the pandemic ended. In fact, Flexport repeatedly advised Peloton to slow its manufacturing as it was outpacing the resources available in the supply chain. Simply stated, during this time, there was not enough space on vessels, nor at the port or in warehouses. And there were not enough truckers to move the cargo once it arrived. In short, despite the lack of available resources in the supply chain during this period, and despite repeated warnings from Flexport as to same, Peloton aggressively and unwisely increased its manufacture and importation of its products – even though Peloton knew that there was no place to put the containers upon arrival at the port; (2) not enough truckers to move them; (3) and nowhere to move them to. Instead, Peloton just allowed its containers to sit in the yards, accumulating D&D – for months despite having been warned and advised by Flexport that these charges will accrue to a substantial amount.



36. As a result of Flexport's wrongful conduct, Peloton incurred substantial injuries and monetary damages, including but not limited to, paying improper D&D charges as alleged herein, and as set forth in Exhibit A.

**Response: Denied. See response to paragraph 14 above.**

37. Peloton seeks reparations for the D&D charges accruing within the three-year period set forth in 46 C.F.R. § 502.62(a)(4)(iii). Not all facts necessary to determine the precise dates when certain of the charges listed in Exhibit A accrued for the purpose of reparations are known at this time, and discovery in this proceeding will be necessary to ascertain such facts.

**Response: Denied. Exhibit "A" identifies 3249 invoices and their issuance date. Of these, Exhibit "A" reflects that 2,164 of the invoices were issued more than three (3) years before Peloton filed its complaint. See Flexport Exhibit "A" which identifies such shipments.**

**Further, Flexport denies that discovery is needed to ascertain when charges accrued. These were Peloton's shipments. Is it Peloton's position that it does not have knowledge of when each of its shipments was transported? Indeed, the Commission has already stated that Peloton should have this information and should have included same in its Amended Complaint.**

38. In addition to the allegations set forth above, on and after June 16, 2022, Flexport issued invoices to Peloton in violation of the Shipping Act, as amended by the Ocean Shipping Reform Act of 2022 ("OSRA").

**Response: Flexport admits that it issued Peloton 19 invoices in or after June, 2022. Flexport denies that any of these 19 invoices violates the Shipping Act or OSRA 2022. See Flexport Exhibit "A" which identifies such**

**shipments.**

39. Flexport's invoices and billing information on and after June 16, 2022 lacked information required by section 41104(d)(2) of the Shipping Act, including the following:

- a. The start date of free time;
- b. The end date of free time;
- c. The container availability date; and
- d. The specific date(s) for which D&D was charged.

**Response: Denied.**

40. Peloton has unsuccessfully attempted to resolve this matter with Flexport prior to filing this Amended Complaint. From February to March of 2024, Peloton's operations team engaged in numerous discussions with Flexport regarding Peloton's claims.

**Response: Denied as written. Prior to the commencement of this action, Flexport and Peloton engaged in protracted discussions regarding a resolution of the claims. In the course of these discussions, Flexport repeatedly asked Peloton to clarify what its dispute was. Specifically, Flexport asked Peloton to identify what invoices and line items were in dispute, and to advise as to the basis of the dispute. Despite these good-faith attempts, Peloton repeatedly ignored these requests and refused to provide any details at all. In the end, Peloton merely stated "all of them" with respect to the invoices, without providing any details as to the basis of the dispute. Flexport received clarification of "all of them" meaning, that without providing a single detail, invoice, fact, or basis for dispute, Peloton wanted a full refund of all D&D charges going back four years. Indeed, after Peloton**

filed its complaint, its counsel reached out to inquire as to potential settlement. Flexport's counsel again reiterated Flexport's request that Peloton identify what the dispute was. Peloton's counsel stated, in essence, that Peloton did not need to provide any further details. The Commission obviously disagreed, and specifically stated so in its Order deferring ruling on the motion to dismiss.

41. On March 21, 2024, Peloton's counsel sent a demand letter to Flexport in an effort to resolve the matter without the need for FMC involvement.

**Response: Admit that Peloton's counsel sent correspondence to Flexport on March 21, 2024.**

42. From March to May of 2024, Peloton's counsel engaged in settlement discussions concerning the wrongful D&D charges with Flexport, but were unable to resolve the matter.

**Response: Denied. See response to paragraph 40 above.**

## **V. VIOLATIONS OF THE SHIPPING ACT**

### **COUNT I**

#### **VIOLATIONS OF 46 U.S.C. § 41102(c) - Unjust and Unreasonable Practices in Handling Property**

43. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

**Response: Flexport repeats its responses.**

44. Section 46 U.S.C. § 41102(c) prohibits common carriers from failing to "establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property."

**Response: Denied insofar as the statute speaks for itself.**

45. Respondent has violated 46 U.S.C. § 41102(c), including 46 CFR § 545.4, because the following elements are established here: (1) the respondent is a common carrier; (2) the claimed acts or omissions occurred on a normal, customary, and continuous basis; (3) the practice or regulation relates to or is connected with receiving, handling, storing, or delivering property; (4) the practice or regulation is unjust or unreasonable; and (5) the practice or regulation is the proximate cause of the claimed loss.

**Response: Denied.**

46. (1) Respondent is a common carrier and a NVOCC as defined by the Shipping Act.

**Response: Admit.**

47. (2) Respondent's actions and omissions described herein occurred on an ongoing and continuous basis over an extended period during which time Respondent issued over 3,000 separate invoices containing unreasonable and unlawful D&D charges.

**Response: Denied.**

48. (3) Respondent's actions and practices described herein relating to Peloton Containers and D&D charges are directly related to receiving, handling, storing, or delivering property, e.g. containerized cargo.

**Response: Denied.**

49. (4) Respondent's actions and practices described herein relating to the assessment of D&D and related charges are unjust and unreasonable in violation of 46 U.S.C. § 41102(c) and 46 C.F.R. §§ 545.4 and 545.5. These actions and practices include, but are not limited to:

- a. assessing D&D charges to Peloton for the inland intermodal transportation of Peloton Containers moving under store door terms for reasons that were not within Peloton's control;
- b. assessing D&D charges to Peloton for the inland intermodal transportation of Peloton Containers when Flexport was responsible for the pickup from the port, movement to the inland place of delivery, and return of the empty Peloton Containers;
- c. continuing to book new Peloton Containers under store door terms without taking adequate steps to address increasing delays and costs incurred in securing timely intermodal movement of Peloton Containers;
- d. assessing D&D charges to Peloton in the inland intermodal transportation of Peloton Containers without a meaningful practice or procedure to first determine Flexport's responsibility for such charges (under store door terms or otherwise);
- e. assessing demurrage charges to Peloton in the inland intermodal transportation of Peloton Containers accrued during periods that Peloton Containers were not available for pickup from marine terminals and from inland terminals (under store door terms or otherwise);
- f. failing to provide Peloton with adequately detailed billing information and/or invoices related to D&D charges to permit Peloton to meaningfully understand and/or contest the charges;
- g. failing to confirm or arrange for the extension of free time and/or mitigate, waive, or reduce D&D charges that were not Peloton's responsibility;
- h. failing to have or employ an adequate dispute resolution policy or practice with

regard to D&D charges;

- i. assessing D&D charges to Peloton, as consignee of the goods, for costs and charges of delays in the inland intermodal transportation of Peloton Containers moving under store door terms that serve no incentivizing purpose and do not promote freight fluidity; and
- j. assessing detention charges for equipment return delays that were Flexport's responsibility and for delays arising because Flexport did not provide an adequate opportunity to return containers.

**Response: Denied. At all times, Peloton was liable for all D&D charges. Instead of even attempting to minimize such charges, Peloton recklessly allowed its goods to remain in shipping containers without attempting to unload same – thereby incurring D&D charges. Even worse, Peloton continued to import goods even though it knew it had no place to put them. At no time did Peloton EVER challenge any of the charges. In fact, all of Flexport's invoices were reviewed – and approved – by multiple Peloton personnel.**

50. (5) For the reasons set forth herein, Flexport's unreasonable practices, including assessment of D&D charges paid by Peloton, are the proximate cause of Peloton's claimed losses.

**Response: Denied. Peloton had no losses. Any charges were the direct result of Peloton's failed and reckless business practices.**

## **COUNT II**

### **VIOLATIONS OF 46 U.S.C. § 41104(a)(15) – OSRA – Invoice Violations**

51. Complainant repeats and realleges each and every allegation above as if fully set

forth herein.

**Response: Flexport repeats its responses.**

52. As amended by OSRA, 46 U.S.C. § 41104(a)(15) provides that a “common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not...invoice any party for demurrage and detention charges unless the invoice includes information as described in subsection (d) [referring to 46 U.S.C. § 41104(d)].”

**Response: Denied insofar as the statute speaks for itself.**

53. Flexport sought to invoice and/or charge Peloton for D&D charges on and after the effective date of OSRA in violation of 46 U.S.C. § 41104(d).

**Response: Denied. The issuance of invoices does not violate the Shipping Act.**

54. Flexport issued invoices on and after the effective date of OSRA without required information, and/or otherwise failed to comply with the requirements for D&D invoices in 46 U.S.C. § 41104(d), in violation of 46 U.S.C. § 41104(a)(15), as alleged above, including as reflected in Exhibit A.

**Response: Denied. Each of the 19 invoices issued by Flexport after the effective date of OSRA contained the required information.**

55. In addition to other penalties and remedies, the issuance of such invoices would trigger 46 U.S.C. § 41104(f), which provides that “[f]ailure to include the information required under subsection (d) of an invoice with any demurrage or detention charge shall eliminate any obligation of the charged party to pay the applicable charge.”

**Response: Denied. The Commission has expressly held that the failure to**

**include information does not relieve a shipper of its obligation to pay the charges.**

### **COUNT III**

#### **VIOLATIONS OF 46 U.S.C. § 41104(a)(14) – OSRA – Unreasonable Charges**

56. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

**Response: Flexport repeats its responses.**

57. As amended by OSRA, 46 U.S.C. § 41104(a)(14) provides that a “common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not ... assess any party for a charge that is inconsistent or does not comply with all applicable provisions and regulations, including subsection (c) of section 41102 or part 545 of title 46, Code of Federal Regulations (or successor regulations).”

**Response: Denied insofar as the statute speaks for itself.**

58. As alleged in each of the Counts above, Flexport’s practices and actions in connection with assessment of D&D charges in and after the effective date of OSRA would also violate 46 U.S.C. § 41104(a)(14).

**Response: Denied.**

### **VI. CAUSATION AND INJURY TO COMPLAINANT**

59. As a result of Flexport’s violations of the Shipping Act, Peloton has sustained injuries and monetary damages, including but not limited to thousands of improper D&D and related charges in excess of \$30 million dollars.



**Response: Denied**

## **VII. ALTERNATIVE DISPUTE RESOLUTION**

60. On May 28, 2024, Peloton had a preliminary consultation with a FMC Dispute Resolution Specialist regarding the availability of alternative dispute resolution (“ADR”) under the FMC’s ADR program, 46 C.F.R. § 502.64.

**Response: Flexport is without knowledge of the allegation which has no bearing on any claim.**

## **VIII. REQUEST FOR ORAL HEARING**

61. Peloton requests a hearing on this matter, and further requests that the hearing be held at the Federal Maritime Commission, 800 N. Capitol St., NW, Washington, D.C. 20573-0001.

**Response: Flexport denies that any hearing is warranted.**

## **AFFIRMATIVE DEFENSES**

1. The Commission lacks subject matter jurisdiction.
2. The Amended Complaint fails to state a claim for which relief may be granted.
3. The claims are barred in whole or in part by the statute of limitations.
4. The claims are barred in whole or in part to the extent same seeks recovery under the Ocean Shipping Reform Act for acts or omissions that are alleged to have occurred prior to the passage of same.
5. Complainant is not entitled to reparations because it has suffered no harm.
6. Any demurrage or detention charges complained of was due in whole or in part to the acts and/or omissions of the motor carrier(s), ocean carriers, terminal operators, warehousemen, rail carriers and/or the cargo interest(s).
7. Any demurrage or detention charges complained of was due in whole or in part to the acts and/or omissions of Complainant.
8. The claims are barred by the doctrines of waiver and estoppel.
9. Respondent claims the right of setoff.

10. Respondent's conduct was reasonable in light of the totality of the circumstances.
11. Complainant's claims are barred by unclean hands and/or illegality.
12. Respondent reserves its right to modify and assert additional affirmative defenses which it deems necessary to its defense during or upon the conclusion of investigation and discovery.

Dated: October 29, 2024

Respectfully submitted,

**SPECTOR RUBIN, P.A.**

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***Counsel for Respondent,  
Flexport International LLC***

**CERTIFICATE OF SERVICE**

I HEREBY CERTIFY that on October 29, 2024 a true and correct copy of the foregoing was served *via email* to all counsel of record in this matter.

**SPECTOR RUBIN, P.A.**

By: /s/ Robert Borak  
Robert M. Borak, Esq.

## VERIFICATION

I, Steve Lee, Senior Vice President, hereby declares and attests under penalty of perjury that I have read the foregoing Answer and believe, to the best of my knowledge, information and belief that the facts stated therein are true and correct.

Dated: 24/10/29

Steve Lee  
Steve Lee (Oct 29, 2024 15:55 EDT)

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